LFB HOLDINGS

Decision Distortion Assessment Reports

BASE REPORT

Your Decision Distortion Assessment — Accumulation Is Your Dominant Force

Your assessment is in. Of the four forces that bend organizational judgment under pressure, accumulation is showing up most actively in your company right now. It's the quietest of the four forces — and typically the last one an organization recognizes in itself, because every individual decision that produced it looked reasonable when it was made.

Of the four forces — noise, bias, accumulation, and incentive misalignment — accumulation is the only one that operates across decisions rather than within them. Noise distorts individual judgment calls. Bias bends the direction of individual calls. Incentives govern how fast either compounds. Accumulation is different: no single decision has to go wrong for it to take hold. What it requires is simply that addition keeps winning over subtraction, decision after decision, until the aggregate weight of individually-defensible choices has made the next decision harder than it needs to be.

What accumulation is

Accumulation is what happens when organizations have a deeply ingrained, largely invisible default toward addition — adding features, processes, hires, metrics, and strategic priorities when faced with a problem — while systematically overlooking subtraction as an equally valid path forward.

This isn't a preference. It's a cognitive accessibility failure: additive options come to mind first, readily and automatically. Subtractive options require deliberate generation, and under pressure, deliberate generation is exactly what's in short supply. The pull operates at three reinforcing levels. Cognitively, addition is simply more accessible — it surfaces first. Culturally, accumulation looks like action; subtraction leaves no visible trace. And economically, the incentive structures of venture-backed companies reward what gets built and launched, not what gets wisely stopped or removed.

Each individual addition — a feature, a process, a hire — seems reasonable in isolation. The problem only becomes visible in aggregate. And by the time it does, the aggregate has made the next decision harder: more variables, more stakeholders, more weight resisting clarity.

How it typically shows up

Facing a new competitor, a Series C company launches two new product modules, attacks both enterprise and SMB simultaneously, and spins up four parallel pilots. The KPI dashboard swells to fifteen metrics. Decision rights blur. Coordination meetings triple while capital spreads thin. From outside, it looks like scaling execution issues. From inside, every one of those decisions felt justified — the modules addressed real gaps, the market expansion was based on real signals, the pilots were tracking real opportunities. What none of those individual decisions accounted for was what all of them together had created: a company that had outrun its own ability to steer.

The hardest part of accumulation is that no single decision was wrong. The aggregate was the problem. And the aggregate was invisible until the speed dropped and the burn rose.

Where your assessment is pointing most clearly within accumulation is on resource addition as a diagnostic substitute — the pattern of applying more resources to a problem before understanding what the problem actually is. The question your assessment flagged is one of the most expensive failure modes in venture-backed companies: not that resources are added, but that they're added in lieu of diagnosis. When a growth target is missed, the accessible response is to add a sales rep, expand the marketing budget, accelerate the roadmap. Each of those responses assumes the problem is execution capacity. If the problem is product-market fit, or pricing architecture, or a broken ICP, the resource addition doesn't fix the underlying issue — it funds the continuation of the wrong approach and adds complexity that will have to be unwound later. The diagnosis has to precede the resource conversation, not follow it.

Where to start

The first intervention is a diagnosis-first rule with a named owner. When performance falls short of target, no resource conversation opens until a written diagnosis exists — one page maximum, one named author accountable for it. Not a committee document. Not a slide deck. A single person's honest assessment of what is actually wrong and why. The diagnosis doesn't have to be right. It has to exist and be specific before the resource conversation begins, because a resource conversation without a diagnosis is just addition wearing the clothes of problem-solving.

The second is a constraint test before any resource addition. Before approving additional people, budget, or features in response to a performance gap, ask explicitly: if we couldn't add anything, what would we do? That question forces the room to exhaust subtractive and corrective options before reaching for addition. It won't always produce the answer — sometimes the honest answer is that resources are genuinely what's needed. But running the constraint test first ensures the organization finds out whether that's true rather than assuming it.

The research behind this

The academic foundation for what your assessment detected comes primarily from Subtract: The Untapped Science of Less by Leidy Klotz — the most direct account of addition default and why subtractive options systematically fail to surface when organizations are under pressure to improve. The finding that's most directly applicable to your situation: even when adding and subtracting require identical effort, people still overwhelmingly default to addition. The default isn't about convenience. It's cognitive, cultural, and economic simultaneously — which is why it takes a structural intervention to counteract it.

What's next

The full Decision Distortion whitepaper from LFB Holdings walks through how accumulation combines with the other three forces — noise, bias, and incentive misalignment — and how to locate the specific points in your decision process where a single closed gap would have the greatest effect.

If you'd like to talk through what your results mean for your company specifically, we're glad to do that.

LFB Holdings: lfbholdings.com

For ongoing case-by-case analysis of how these forces operate in real organizational decisions, Bad Call is a subscription brief that applies this framework to actual decision sequences — company autopsies, one at a time.

Bad Call: badcall.ai